

Restrictive Practices

Restrictive practices or cartels imposed by countries can affect companies and industries. The United States of America has restrictions regarding the imports of a variety of articles such as textiles. Licenses are given and amounts that may be imported from companies and countries are clearly detailed. Similarly, India has a number of restrictions on what may be imported and at what rate of duty. To an extent this determines the prices at which goods can be sold. If the domestic industry is to be supported, the duties levied may be increased resulting in imports becoming unattractive. During the last two years Indian customs duties have been reduced drastically. Imports are consequently much cheaper and this has affected several industries.

When viewing a company, it is important to see how sensitive it is to governmental policies and restrictive practices.